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Financial reports and audited financial statements, and reports of the Board of Auditors: United Nations peacekeeping operations

Administrative and budgetary aspects of the financing of the United Nations peacekeeping operations

Implementation of the recommendations of the Board of Auditors concerning United Nations peacekeeping operations for the financial period ended 30 June 2023

Report of the Secretary-General

Summary

The present report provides information in response to the recommendations of the Board of Auditors contained in its report on United Nations peacekeeping operations for the 12-month period from 1 July 2022 to 30 June 2023 ([A/78/5 \(Vol. II\)](#), chap. II). The report is submitted in accordance with paragraph 7 of General Assembly resolution [48/216 B](#), in which the Assembly requested the Secretary-General, at the same time as the recommendations of the Board of Auditors are submitted to the Assembly, to provide it with his responses and to indicate measures that will be taken to implement those recommendations, with appropriate timetables.

The Administration has concurred with the Board's recommendations and its relevant comments have been duly reflected in the report of the Board. The present report provides additional comments from the Administration, where appropriate, and information on the status of implementation, the department responsible, the estimated completion date and the priority for each recommendation contained in the report of the Board. In addition, the report contains updated information on the status of implementation of the recommendations of the Board relating to the prior periods that were reported by the Board, in annex II to its report, as not having been fully implemented.



I. Introduction

1. In its resolution [48/216](#) B, the General Assembly requested the Secretary-General, at the same time as the recommendations of the Board of Auditors are submitted to the Assembly, to provide it with his responses and to indicate measures that will be taken to implement those recommendations, with appropriate timetables. The present report is submitted in response to the recommendations of the Board contained in its report on the United Nations peacekeeping operations for the 12-month period ended 30 June 2023 ([A/78/5](#) (Vol. II), chap. II).

2. In preparing the present report, account was taken of the provisions of the following documents:

(a) General Assembly resolution [52/212](#) B, in particular paragraphs 2 to 5 thereof, and the note by the Secretary-General transmitting the proposals of the Board for improving the implementation of its recommendations approved by the Assembly ([A/52/753](#), annex);

(b) Paragraph 6 of Assembly resolution [77/253](#) B, in which the Assembly requested the Secretary-General to ensure the full implementation of the recommendations of the Board of Auditors and the related recommendations of the Advisory Committee on Administrative and Budgetary Questions in a prompt and timely manner;

(c) Paragraph 8 of Assembly resolution [77/253](#) B, in which the Assembly noted the recommendations of the Board of Auditors contained in its report [A/77/5](#) (Vol. II) regarding risk management, including recommendations 75 and 76. The Assembly also affirmed that the implementation of the said recommendations, pertaining to enterprise risk management, was not construed to encompass or apply to the operational and tactical-level decision-making of uniformed components, which is guided by extant doctrine, policies and processes, as currently established for peacekeeping, and that the implementation of these recommendations did not negate resolutions of the Assembly regarding the safety and security of United Nations peacekeepers;

(d) Paragraph 12 of Assembly resolution [77/253](#) B, in which the Assembly requested the Secretary-General to continue to indicate an expected time frame for the implementation of the recommendations of the Board of Auditors and the priorities for their implementation, including the office holders to be held accountable and measures taken in that regard;

(e) Paragraph 13 of Assembly resolution [77/253](#) B, in which the Assembly requested the Secretary-General to provide, in his next report on the implementation of the recommendations of the Board of Auditors concerning United Nations peacekeeping operations, a full explanation for the delays in the implementation of all outstanding recommendations of the Board, the root causes of the recurring issues and the measures to be taken.

3. With regard to prioritization, the Administration noted that the Board had categorized 23 of the 26 recommendations for the period ended 30 June 2023 as “main recommendations”. While all the accepted recommendations of the Board will be implemented in a timely manner, the main recommendations are considered to be of the highest priority.

4. The status of implementation of the new recommendations as of February 2024 is summarized in tables 1 and 2.

5. As indicated in table 1, all 23 main recommendations issued by the Board remained under implementation as of February 2024; of those, 10 have been targeted for implementation before the end of 2024 and 13 before the end of 2025.

Table 1

Status of implementation of the main recommendations of the Board of Auditors as of February 2024

(Number of recommendations)

<i>Department responsible</i>	<i>Total</i>	<i>Not accepted</i>	<i>Closure requested</i>	<i>Under implementation</i>	<i>Target date set</i>	<i>No target date</i>
Department of Management Strategy, Policy and Compliance	8	—	—	8	8	—
Department of Operational Support	2	—	—	2	2	—
Department of Peace Operations	4	—	—	4	4	—
Multiple entities	9	—	—	9	9	—
Total	23	—	—	23	23	—

6. As indicated in table 2, all 26 recommendations issued by the Board remained under implementation as of February 2024; of those, 12 have been targeted for implementation before the end of 2024 and 14 before the end of 2025.

Table 2

Status of implementation of all recommendations (including main ones) of the Board of Auditors as of February 2024

(Number of recommendations)

<i>Department responsible</i>	<i>Total</i>	<i>Not accepted</i>	<i>Closure requested</i>	<i>Under implementation</i>	<i>Target date set</i>	<i>No target date</i>
Department of Management Strategy, Policy and Compliance	11	—	—	11	11	—
Department of Operational Support	2	—	—	2	2	—
Department of Peace Operations	4	—	—	4	4	—
Multiple entities	9	—	—	9	9	—
Total	26	—	—	26	26	—

II. Implementation of the recommendations contained in the report of the Board of Auditors

7. The information requested by the General Assembly on the status of implementation of recommendations contained in the report of the Board of Auditors for the financial period ended 30 June 2023 (A/78/5 (Vol. II), chap. II) is set out below. As indicated in the summary of the present report, most of the Administration's comments have already been included in the report of the Board. Accordingly, additional comments are provided only where deemed necessary.

8. In paragraph 65 of its report, the Board recommended that the Administration develop a strategy and propose to the General Assembly ways to improve budget development for peacekeeping operations, in order to achieve greater accuracy, predictability and efficiency.

Departments responsible: Department of Management Strategy, Policy and Compliance and Department of Peace Operations

Status: Under implementation

Priority: High

Target date: Fourth quarter of 2025

9. The Administration is continuing with its efforts to improve the budget formulation process. In order to refine the forecasting, the proposed budgets will reflect up-to-date financial performance data and the impact of foreseeable factors where possible, which should align with the mandate and operational tempo of the missions. The Administration agreed that the resource requirements can be carefully reviewed during budget formulation using a zero-based budgeting approach, bearing in mind the missions' mandates and concept of operations and noting that the presentation in the reports of the Secretary-General will still reflect incremental changes related to staffing and financial resource requirements. In line with the recommendations of the Advisory Committee on Administrative and Budgetary Questions and the requests of the General Assembly, detailed and comparative information, with justifications, will continue to be provided to facilitate the decision-making process. The Administration also notes that to enhance accuracy, predictability and transparency, the information in the budget reports will be enhanced by presenting holistic multi-year plans for construction and assets, as appropriate, including implementation status in the various budget periods. This is contingent upon the necessary system changes and available resourcing to implement the change within missions and support entities, and may require the prioritization of some multi-year elements, with financial value taking precedence.

10. In paragraph 68 of its report, the Board recommended that the Administration analyse the sustainability of the support account, taking into consideration the consequences of the reduction or closure of peacekeeping missions, and consolidate scalability models for both Headquarters and service centres.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Target date: Fourth quarter of 2025

11. In accordance with General Assembly resolution [77/304](#), a scalability model report will be submitted to the Assembly during its seventy-ninth session. The Administration will take advantage of that report to undertake a comprehensive analysis of interconnected issues linked to the support account and the support entities, including the relative balance of work funded by the support account and the regular budget, including the backstopping of special political missions.

12. Even as some peace operations close, the Secretariat is facing increasing demand to support others that are deploying, which has implications for the support account. The Administration needs to retain the capacity to deploy peace operations as mandated. These requirements need to be integrated into the development of a consolidated scalability model. The model should acknowledge that many services of the entities funded by the support account also support special political missions and

other United Nations clients, in accordance with their mandated functions. It should also reflect the management paradigm shift approved by the General Assembly whereby the new Headquarters departments – the Department of Operational Support and the Department of Management Strategy, Policy and Compliance – have provided operational and policy support to all Secretariat entities from 2019. The model therefore needs to consider the entire spectrum of support provided to United Nations peace and security functions, which will require adequate funding for the support provided to entities other than peacekeeping operations.

13. In paragraph 109 of its report, the Board recommended that the Administration present, in its next report to the General Assembly on improving the financial situation of the United Nations, desirable evolutions in revenue, expenditure and liquidity management for peacekeeping operations.

Departments responsible: Department of Management Strategy, Policy and Compliance and Executive Office of the Secretary-General

Status: Under implementation

Priority: High

Target date: Fourth quarter of 2025

14. The Administration will provide an update on the report of the Secretary-General on improving the financial situation of the United Nations ([A/76/429](#)) to the General Assembly at its eightieth session, as stipulated in Assembly resolution [76/272](#).

15. In paragraph 141 of its report, the Board recommended that the Administration define the roles and responsibilities of budget monitoring of peacekeeping operations by different stakeholders of the second line of defence to ensure that appropriate checks and balances are in place and greater attention is paid to budgetary discipline and mandate priorities.

Departments responsible: Department of Management Strategy, Policy and Compliance and Department of Peace Operations

Status: Under implementation

Priority: High

Target date: Fourth quarter of 2025

16. The Administration supports measures to strengthen oversight, monitoring and accountability measures and to ensure that the scope and delineation of the responsibilities of budget monitoring by different stakeholders of the second line of defence are clearly defined in the context of the delegation of authority framework. It also stressed that the Controller's memorandum of 2021 regarding the management of allotments and procedures for redeployments reflected viable checks and balances, to the extent that missions adhered to its provisions. The Field Operations Finance Division will continue its efforts to conduct stringent monitoring during budget implementation and seek further clarification and justification from missions and related departments at Headquarters, where necessary. This will require the Field Operations Finance Division to be better informed on strategic discussions that have major budgetary impacts.

17. As part of the monitoring role of the second line of defence, the Department of Peace Operations will assess the adequacy of the alignment of budget implementation with mandate priorities.

18. In paragraph 173 of its report, the Board recommended that the Administration streamline and improve the quality of the data used in accountability reports produced as part of the results-based budgeting.

Departments responsible: Department of Management Strategy, Policy and Compliance, Department of Peace Operations and all peacekeeping missions

Status: Under implementation

Priority: High

Target date: Fourth quarter of 2025

19. In line with the Secretary-General's management reform and increased use of results-based management, the results-based budgeting process needs to be improved to demonstrate more impact-oriented results. The accountability for both resource management and programme delivery should be clearly reflected in the budget performance and budget proposal reports submitted to the General Assembly. For peacekeeping missions, results-based budgeting remains the process used to enhance responsibility and accountability in the implementation of programmes and budget, as endorsed by the Assembly. To drive improvement in both planning and reporting, peacekeeping missions will progressively rely on a range of online tools, including Umoja and the Comprehensive Planning and Performance Assessment System, to help strengthen the impact-orientation of their results-based budgeting frameworks and performance reports. The Comprehensive Planning and Performance Assessment System can help inform the indicators of achievement and outputs in the results-based budgeting frameworks, while ensuring compliance with the results-based budgeting methodology, to strengthen the way missions track and demonstrate more impact. This will ensure consistency in assessing the performance and impact, based on data collected and analysis done on a regular basis, in step with the nature of the environment in which each mission operates.

20. In paragraph 175 of its report, the Board recommended that the Administration develop a methodology to gradually build up a presentation of the main expenses according to an analytical breakdown by mandate component.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Target date: Fourth quarter of 2025

21. To further improve the results-based budgeting process, the Administration has begun considering ways to improve the linkages between results and resources. However, the scope of implementation may vary on the basis of resource requirements and the practicality of such linkages. Given the current budgeting and accounting systems of the Organization, this will require a major shift in practices and systems in the Secretariat and in peacekeeping operations, and any changes will be contingent upon the necessary system changes and available resourcing to implement the

changes within peacekeeping-funded entities, and only some elements that can more easily be linked may be reflected.

22. In paragraph 226 of its report, the Board recommended that the Administration review the planning of the civilian component's operations to ensure, after in-depth consultations, a more realistic multi-year sequencing of the implementation of the mandate and a better alignment with strategic priorities.

Department responsible: Department of Peace Operations

Status: Under implementation

Priority: High

Target date: Fourth quarter of 2025

23. The Administration agrees with the recommendation, and its comments are reflected in paragraph 228 of the Board's report.

24. In paragraph 260 of its report, the Board recommended that the Secretariat provide information in the budget documentation on the costs of the substantive civilian component of peacekeeping operations.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Target date: Fourth quarter of 2025

25. The Administration agrees with the recommendation and highlighted that detailed information on the number of posts and positions per grade level is already provided for each component within a mission, and the presentation will be enhanced to include the costing of this information for all components. In addition, for those missions that have programmatic funding, the information in future budget reports will be provided by component.

26. In paragraph 304 of its report, the Board recommended that the Administration review and adjust existing senior mission leadership mechanisms, in line with the revised Policy on Integrated Assessment and Planning, to enhance their effectiveness in the delivery of their core integration and strategic management functions.

Department responsible: Department of Peace Operations

Status: Under implementation

Priority: High

Target date: Fourth quarter of 2025

27. The Administration accepted the recommendation.

28. In paragraph 306 of its report, the Board recommended that the Administration explore new ways of working with United Nations agencies,

funds and programmes regarding the implementation of the objectives of the peacekeeping mandates.

Department responsible: Department of Peace Operations

Status: Under implementation

Priority: High

Target date: Fourth quarter of 2025

29. The new ways of working recommended by the Board will be explored in the context of transition planning, with due consideration given to the comparative advantages, building on missions' experiences in joint United Nations programming.

30. In paragraph 341 of its report, the Board recommended that the Administration review, through a process including both Headquarters and the missions, the quality of the existing reporting on the performance of the substantive civilian components of peacekeeping operations, in order to increase its relevance and better support strategic management and oversight.

Department responsible: Department of Peace Operations

Status: Under implementation

Priority: High

Target date: Fourth quarter of 2025

31. The Administration accepted the recommendation.

32. In paragraph 365 of its report, the Board recommended that the Administration update the information on signature authority with the missions to ensure that the personnel registered correspond to the operational needs.

Departments responsible: Department of Management Strategy, Policy and Compliance and all peacekeeping missions

Status: Under implementation

Priority: High

Target date: Second quarter of 2024

33. The Department of Management Strategy, Policy and Compliance has reached out to all local offices and missions requesting confirmation that the current bank signatories in the Global Banking Operations Section database are still active, and will take any necessary action accordingly. This control will be performed on an annual basis and the standard operating procedure for authorized bank signatories will be amended.

34. In paragraph 370 of its report, the Board recommended that the Administration request from the banks a written confirmation when a change in signatories is notified to them.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Target date: Second quarter of 2024

35. The Administration will request a written confirmation from the external banks when a signatory change letter is sent. This process will also be included in the updated standard operating procedure for authorized bank signatories.

36. In paragraph 379 of its report, the Board recommended that the Administration explore improvements on the bank reconciliation transaction in Umoja.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: Medium

Target date: Second quarter of 2025

37. An Umoja business requirement change was created to allow the Enterprise Resource Planning Solution Division to explore potential updates so that the open item indicator in the dedicated SAP transaction (FEBAN) matches that of the general ledger line-item report. This change is expected to be reviewed by the Division after the current upgrade process is concluded. The Administration would also like to reiterate that the change is subject to a cost-efficiency analysis and feedback from SAP on the feasibility of the request.

38. In paragraph 381 of its report, the Board recommended that the Administration maintain a central list of all bank reconciliation open items older than three months, as well as work with local bank reconcilers and the United Nations Treasury to identify process changes that would improve the clearing period of old open reconciling items.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: Medium

Target date: Second quarter of 2024

39. The Administration has begun collecting and compiling a list of reconciling items that are older than three months. This list will be centrally maintained and will provide data to identify common reconciling/clearing issues, which can then be reviewed so that process improvements can be identified.

40. In paragraph 394 of its report, the Board recommended that the Administration include in the policy document mentioned in chapter II, paragraph 274, of [A/77/5 \(Vol. II\)](#): (a) an analysis of the possibility of differentiating the withdrawal and retirement rates at the time of retirement by

participant status (international versus national); (b) a study to determine the historical rate of participants in after-service health insurance plans who leave the plan after retirement; and (c) an option that the valuation method for the full valuation be revised in the light of the results of these analyses.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Target date: Fourth quarter of 2024

41. The Administration will: (a) review the potential impact of differentiating withdrawal and retirement rates for international and national staff and share the results of the review with the Board; (b) review the historical patterns, if any, of retired staff leaving after-service health insurance plans for reasons other than death, and present findings to the Board; (c) consider the impact of the above findings on the actuarial valuation of after-service health insurance liabilities.

42. In paragraph 403 of its report, the Board recommended that the Administration maintain an appropriate audit trail for the currency mix used in weighting the after-service health insurance discount rates, and for the discount rate for non-medical plans, which takes into account only the United States yield curve, and disclose this information in the notes to the financial statements.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: Medium

Target date: Third quarter of 2024

43. The Administration will include this information in the notes to the financial statements for the future financial periods.

44. In paragraph 418 of its report, the Board recommended that the Administration establish in a formal document the process for determining the peacekeeping operations' shares of the various after-service health insurance medical plans, specifying in particular the internal controls to be implemented.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Target date: Fourth quarter of 2024

45. The updated simulation process for administering the General Assembly-mandated overall cost-sharing ratios will be documented.

46. In paragraph 429 of its report, the Board recommended that the Administration establish a standard operating procedure for the credit returns

to Member States that provides an overview of the process and the related internal controls.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Target date: Third quarter of 2024

47. The Administration accepted the recommendation and will implement it by the target date.

48. In paragraph 435 of its report, the Board recommended that the Administration finalize its analysis to determine the final adjustments necessary related to credit returns.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Target date: Third quarter of 2024

49. The Administration's comments are reflected in paragraphs 436 and 437 of the Board's report.

50. In paragraph 454 of its report, the Board recommended that the Administration review the cost-recovery accumulated surpluses of the United Nations Mission in South Sudan (UNMISS), the United Nations Support Office in Somalia (UNSOS), the United Nations Multidimensional Integrated Stabilization Mission in Mali (MINUSMA), the United Nations Multidimensional Integrated Stabilization Mission in the Central African Republic (MINUSCA), the United Nations Organization Stabilization Mission in the Democratic Republic of the Congo (MONUSCO) and the United Nations Interim Security Force for Abyei (UNISFA) and make the necessary adjustments.

Departments responsible: Department of Management Strategy, Policy and Compliance, UNMISS, UNSOS, MINUSMA, MINUSCA, MONUSCO and UNISFA

Status: Under implementation

Priority: High

Target date: Second quarter of 2025

51. The Administration will conduct a review of the fund balances in peacekeeping missions prior to the end of the 2023/24 period. The Department of Management Strategy, Policy and Compliance has also contacted several missions with the goal of working closely with the missions to examine their fund balances and their cost-recovery operations.

52. In paragraph 459 of its report, the Board recommended that the Administration continue its work on centrally monitoring cost recovery in

particular to ensure the correct differentiation between spendable and non-spendable income.

Departments responsible: Department of Management Strategy, Policy and Compliance, MONUSCO and UNMISS

Status: Under implementation

Priority: High

Target date: Second quarter of 2024

53. The Administration will conduct a related review prior to the end of the 2023/24 period.

54. In paragraph 485 of its report, the Board recommended that the Administration complete its review of the fuel category strategy in a timely manner to adapt it to various challenges, including by exploring additional contract tools and operating models in order to reduce its dependence on a very limited number of suppliers.

Department responsible: Department of Operational Support

Status: Under implementation

Priority: High

Target date: Fourth quarter of 2024

55. The fuel category strategy is under review, and will take into account experiences from the 2019 strategy, recent incidents and the limited competition and the need to further enhance the reliability and efficiency of fuel procurement and supply.

56. In paragraph 498 of its report, the Board recommended that the Administration improve reporting from the field concerning fuel needs and consumption in order to identify situations that require taking appropriate actions as and when needed.

Departments responsible: Department of Operational Support, Office of Information and Communications Technology and all peacekeeping missions

Status: Under implementation

Priority: High

Target date: Fourth quarter of 2024

57. The Department of Operational Support, in collaboration with the Office of Information and Communications Technology, is working on several enhancements for the updated electronic fuel management system. Among other things, the enhancements will improve reporting from the field concerning fuel consumption and stockholding. The enhancements also include some aspects of the acceptable performance levels. In addition, the improvements will provide field missions with access to various reports that will help them identify and investigate problems and take corrective actions.

58. In paragraph 513 of its report, the Board recommended that the Administration continue to reinforce financial diligence with vendors both at the selection phase and in cases when significant and persistent issues affect the ongoing performance of the contract.

Department responsible: Department of Operational Support

Status: Under implementation

Priority: High

Target date: Third quarter of 2024

59. The Enabling and Outreach Service of the Department of Operational Support continues to reinforce the financial diligence of vendors and conduct financial evaluations annually to review the financial health of those vendors whose contracts are above a given threshold. The Service has implemented new financial evaluation criteria for aviation, fuel, food and construction categories and continues to review other categories. With regard to a systematic check on performance bonds/security, the Procurement Division and the Enabling and Outreach Service are working closely with the Financial Risk Management Service in the Office of Programme Planning, Finance and Budget to implement a new procedure to authenticate such documents when they receive them digitally.

60. In paragraph 538 of its report, the Board recommended that the Administration ensure better anticipation and mitigation by peacekeeping missions of the risks associated with a withdrawal.

Departments responsible: Department of Peace Operations and Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Target date: First quarter of 2025

61. The Administration's comments were reflected in paragraph 540 of the Board's report. In addition, the Business Transformation and Accountability Division in the Department of Management Strategy, Policy and Compliance will assist the Department of Peace Operations and other concerned entities in improving the identification, assessment and mitigation of the risks associated with a withdrawal.

III. Implementation of the recommendations contained in the reports of the Board of Auditors concerning United Nations peacekeeping operations for prior financial periods

62. In paragraph 13 of its resolution [77/253](#) B, the General Assembly requested that the Secretary-General provide, in his next report on the implementation of the recommendations of the Board of Auditors concerning United Nations peacekeeping operations, a full explanation for the delays in the implementation of all outstanding recommendations of the Board, the root causes of the recurring issues and the measures to be taken. Such explanations have been included in the Administration's detailed comments below relating to the relevant recommendations.

63. In annex II to its report on United Nations peacekeeping operations for the 12-month period from 1 July 2022 to 30 June 2023 (A/78/5 (Vol. II), chap. II), the Board provided a summary of the status of implementation of its 41 extant recommendations issued during the seven prior financial periods up to 30 June 2022. Of the 41 extant recommendations, 13 (32 per cent) were assessed as “implemented”, 27 (66 per cent) as “under implementation” and 1 (2 per cent) as “overtaken by events”. The Board also noted in its report that “49 per cent (20) of the 41 recommendations had only been endorsed by the General Assembly on 30 June 2023”.

64. As at 30 June 2023, the overall status of implementation of all of the Board’s recommendations issued since the 2015/16 financial period up until the 2021/22 financial period (that is, over the seven prior financial periods) is shown in table 3.

Table 3

Overall status of implementation of the recommendations of the Board of Auditors from seven prior financial periods up to 30 June 2022

<i>Financial period</i>	<i>Report symbol</i>	<i>Total</i>	<i>Fully implemented</i>	<i>Under implementation</i>	<i>Overtaken by events</i>
2015/16	A/71/5 (Vol. II)	55	49 (89%)	–	6 (11%)
2016/17	A/72/5 (Vol. II)	75	67 (89%)	–	8 (11%)
2017/18	A/73/5 (Vol. II)	52	35 (67%)	5 (10%)	12 (23%)
2018/19	A/74/5 (Vol. II)	43	40 (93%)	1 (2%)	2 (5%)
2019/20	A/75/5 (Vol. II)	30	24 (80%)	3 (10%)	3 (10%)
2020/21	A/76/5 (Vol. II)	10	7 (70%)	2 (20%)	1 (10%)
2021/22	A/77/5 (Vol. II)	20	4 (20%)	16 (80%)	–
Total		285	226 (79%)	27 (10%)	32 (11%)

65. Table 4 provides a detailed analysis of the status of implementation, as at February 2024, of the 27 extant recommendations from the prior periods that had been assessed by the Board as being “under implementation”.

Table 4

Status of implementation of the outstanding recommendations of the Board of Auditors from prior periods as of February 2024

(Number of recommendations)

<i>Department responsible</i>	<i>Total</i>	<i>Closure requested</i>	<i>Under implementation</i>	<i>Target date set</i>	<i>No target date</i>
Department of Management Strategy, Policy and Compliance	14	–	14	14	–
Department of Operational Support	5	–	5	5	–
Department of Peace Operations	1	–	1	1	–
Multiple entities	7	–	7	7	–
Total	27	–	27	27	–

66. All 27 recommendations remained under implementation as of February 2024. Of the 27 recommendations, 22 are targeted for implementation before the end of 2024, 4 in 2025 and 1 in 2026.

A. Recommendations contained in the report of the Board of Auditors for the 12-month period ended 30 June 2018 (A/73/5 (Vol. II), chap. II)

67. In paragraph 185 of its report, the Board further recommended updating the integrated operational team policy based on this review.

Department responsible: Department of Peace Operations

Status: Under implementation

Priority: Medium

Initial target date: Fourth quarter of 2019

Revised target date: Second quarter of 2024

68. Following extensive consultations conducted in 2023 with stakeholders across Headquarters and field missions, the Department of Peace Operations developed a draft policy on the integrated operational teams and the integrated support they provide to peacekeeping operations. The draft policy is undergoing revisions based on further feedback received.

69. In paragraph 209 of its report, the Board recommended that the Administration analyse the direct and indirect costs associated with the disposal of unserviceable and expired ammunition from troop- and/or police-contributing countries and inform Member States accordingly.

Department responsible: Department of Operational Support

Status: Under implementation

Priority: Medium

Initial target date: Ongoing

Revised target date: Second quarter of 2024

70. A working group was established and is working on the recommended analysis.

71. In paragraph 375 of its report, the Board recommended that the Administration consider publishing tenders for goods and services instead of solely publishing the request for expression of interest.

Department responsible: Department of Operational Support

Status: Under implementation

Priority: Medium

Initial target date: Ongoing

Revised target date: Fourth quarter of 2024

72. Phase 1, on the development of the United Nations Global Marketplace Ariba interface, and phase 2, which synchronized vendors based on the submission of the expression of interest by vendors, were completed by June 2023. Phase 3 is currently being re-evaluated from a technical and operational point of view. The target implementation date of this recommendation has been revised to December 2024.

73. In paragraph 407 of its report, the Board recommended that the Administration amend the policy for rosters with the objective to facilitate roster-building, management and data cleansing.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: Medium

Initial target date: Third quarter of 2019

Revised target date: Second quarter of 2024

74. Decisions of the Secretary-General on roster management were made following discussions at the Staff-Management Committee meeting in April 2023. These decisions are being incorporated into a revision of the administrative instruction on the staff selection system.

75. In paragraph 417 of its report, the Board recommended that the Administration review the recruitment process to increase transparency and simplify and shorten the procedure.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: Medium

Initial target date: Third quarter of 2019

Revised target date: Fourth quarter of 2026

76. The Administration is developing a programme that is being referred to as “Staff Selection 2.0”. The objective of the programme is to deliver processes, policies, tools and technologies for an effective staff selection system that ensures accuracy, fairness and efficiency. Staff Selection 2.0 will cover three components: recruitment, outreach and the Young Professionals Programme. The recruitment component is composed of three workstreams that include multiple projects: (a) comprehensive job analysis and skill identification; (b) assessment methods and tools for now and the future; and (c) ensuring accountability and agility in staff selection. Subject to the availability of resources, the programme is due to be implemented by 2026.

77. The end result of Staff Selection 2.0 is to provide the Organization with a diverse and inclusive workforce that delivers on its evolving mandates. The new, streamlined staff selection system will also fulfil the letter and spirit of Article 101 of the Charter of the United Nations by recruiting staff on as a wide geographical basis as possible.

B. Recommendations contained in the report of the Board of Auditors for the 12-month period ended 30 June 2019 (A/74/5 (Vol. II), chap. II)

78. In paragraph 202 of its report, the Board recommended that the Administration extend the delegation of authority portals' functionalities to specify and limit subdelegations to ensure that the staff member who receives subdelegations is aware of the scope.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: Medium

Initial target date: Fourth quarter of 2020

Revised target date: Second quarter of 2024

79. The Administration has developed a new enhanced delegation of authority portal that will offer new functionalities to "itemize" the authorities that are subdelegated and limit subdelegations when necessary through precise and detailed "scope lines". Although the new portal has been developed and tested, it has not yet been rolled out, as it will be launched with the revised delegation of authority instrument that is currently in the final stage of review. The Administration provided a demonstration of the new portal in its testing environment to the audit team and will request the closure of this recommendation as soon as the portal is launched (when the revised delegation of authority instrument is issued), which is expected to be in the first half of 2024.

C. Recommendations contained in the report of the Board of Auditors for the 12-month period ended 30 June 2020 (A/75/5 (Vol. II), chap. II)

80. In paragraph 68 of its report, the Board recommended that the Administration determine the support account share of after-service health insurance expenditure on the basis of actual costs incurred within peacekeeping operations.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Initial target date: Fourth quarter of 2021

Revised target date: Fourth quarter of 2024

81. The analysis of new apportionment ratios is ongoing, with consideration being given to the potential impact the ongoing downsizing of peacekeeping missions may have on the ratios.

82. In paragraph 176 of its report, the Board recommended that the Administration include in the new memorandum of understanding with the United Nations Office for Project Services (UNOPS) clear stipulations on transparency and the provision of supporting documents, on the utilization of existing United Nations contracts and structures, on the consequences of non-compliance and on the UNOPS fee structure.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Initial target date: Second quarter of 2021

Revised target date: Second quarter of 2024

83. The Administration has made substantial progress towards finalizing the new memorandum of understanding with UNOPS. The memorandum of understanding is under review and is also undergoing negotiations with UNOPS on the new fee structure and rebate.

84. In paragraph 309 of its report, the Board recommended that the Administration establish a United Nations occupational safety and health management system that also includes coronavirus disease (COVID-19) measures.

Departments responsible: Department of Operational Support and Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: Medium

Initial target date: Fourth quarter of 2022

Revised target date: Third quarter of 2024

85. The occupational safety and health management system has seven key components and is under progressive implementation at Headquarters and at those locations that have a professional safety officer. The Administration is also developing measures to support duty stations that do not have occupational safety and health capabilities. Two components, the risk register and corresponding risk management plans, are in development pending increased incident data. The incident reporting technological solution has been revised and upgraded to include COVID-19 reporting. The EarthMed piloting of the incident reporting system and the one-hour occupational safety and health awareness training course have been developed and dedicated budget and resources have been allocated.

D. Recommendations contained in the report of the Board of Auditors for the 12-month period ended 30 June 2021 (A/76/5 (Vol. II), chap. II)

86. In paragraph 57 of its report, the Board recommended that the Administration determine which categories of assets the missions shall provide to UNOPS for mine action projects and exclude them from financial agreements

with UNOPS, include provisions on periodic asset reporting by UNOPS that facilitate International Public Sector Accounting Standards (IPSAS) financial reporting in the new memorandum of understanding, and integrate the Chiefs of the Mine Action Programme into the oversight and management of project assets.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Initial target date: Third quarter of 2023

Revised target date: Second quarter of 2024

87. The first part of this recommendation, which is under Mine Action Service control, has been completed. The Mine Action Service abides by the stipulations contained in annex 2 to the memorandum of understanding between the Secretariat and UNOPS regarding the categories of assets to be provided by missions. In cases where the assets listed in annex 2 are provided by the mission, they are excluded from the financial agreement between the Mine Action Service and UNOPS, and the mission's decision to proceed in this way is documented. The second part of this recommendation is contingent upon the revision of the memorandum of understanding between the Secretariat and UNOPS, which is being finalized.

88. In paragraph 74 of its report, the Board recommended that the Administration ensure that the delegation of authority to any Officers-in-Charge is visible in the delegation of authority portal, and define and codify the delegation of authority for administrative decisions regarding the management of resources, including human resources, for all drawdown and liquidation activities after the Security Council mandate of a mission has ended.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Initial target date: Fourth quarter of 2022

Revised target date: Second quarter of 2024

89. This recommendation has been implemented with the inclusion in the revised Secretary-General's bulletin on delegation of authority, which is currently in the final review stage, of: (a) a statement that, in cases where an officer-in-charge arrangement was put in place to assume the function held by an official whose post had become vacant, the authorities would be delegated to the officer-in-charge listed in the online portal until the successor or the acting officer was appointed; and (b) a new section to clarify the exercise of temporary delegated authority at the closing of operations of an entity. The Administration will request closure of this recommendation as soon as the revised Secretary-General's bulletin is published, which is expected in the first half of 2024.

E. Recommendations contained in the report of the Board of Auditors for the 12-month period ended 30 June 2022 (A/77/5 (Vol. II), chap. II)

90. In paragraph 50 of its report, the Board recommended that the Administration organize an annual “peacekeeping risk management day”, in order to raise awareness and develop, including through proper brainstorming and training sessions, a more risk-aware culture in the peacekeeping missions.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Initial target date: First quarter of 2024

Revised target date: Fourth quarter of 2024

91. The options for organizing an annual “peacekeeping risk management day” will be discussed with the Department of Peace Operations and field missions during the enterprise risk management focal points’ workshop to be held in the first half of 2024.

92. In paragraph 75 of its report, the Board recommended that the Administration provide, with a view to building a more consensual, sound and practical basis for risk-taking in peacekeeping operations, the appropriate elements to fuel a strategic discussion at the level of the legislative bodies, not excluding the issuance of a peacekeeping risk appetite statement and the revision of the 2011 risk management policy.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Initial target date: Fourth quarter of 2024

Revised target date: First quarter of 2025

93. The General Assembly, in its resolutions 66/257 and 77/253 B, confirmed that the determination of the risk tolerance of the Organization was the responsibility of the Assembly. As preliminary work to support that determination, the Secretariat will consider: (a) facilitating a strategic discussion at the level of legislative bodies on risk-taking in peacekeeping operations, as a more systematic analysis of strategic-level risks and their implications for mandate implementation could be brought to the attention of the Security Council in the reports of the Secretary-General on peacekeeping operations to support the Council’s deliberations; and (b) providing this type of strengthened analysis of strategic risks, as relevant to the allocation and management of resources for mandate implementation, to the Assembly in the budget proposals of the Secretary-General. These two points will be discussed extensively with the Department of Peace Operations and the Department of Operational Support in order to better evaluate the capacity within the Secretariat as well as their alignment with reporting requirements set by intergovernmental bodies and their mandates.

94. **In paragraph 76 of its report, the Board recommended that the Administration progressively develop mechanisms to define acceptable risk-taking at the level of peacekeeping missions and experiment with ways to better incentivize and reward it.**

Departments responsible: Department of Management Strategy, Policy and Compliance and all peacekeeping missions

Status: Under implementation

Priority: High

Initial target date: Fourth quarter of 2024

Revised target date: First quarter of 2025

95. In the context of the Secretariat, and in particular regarding peacekeeping operations, the development of rules and mechanisms to identify acceptable risk-taking and experiment with ways to better incentivize and reward it remain extremely complex. Some mechanisms to incentivize and reward risk-taking within the existing framework do exist, such as the process for awarding bonuses (a risk premium), established by the General Assembly, to former military and police units that have acquitted themselves well despite exceptional levels of risk and operate without restrictions and caveats. In the case of United Nations personnel, such a mechanism, if implemented, should cover all United Nations staff members, as the Staff Regulations and Rules describe the fundamental conditions of service and the basic rights, duties and obligations applicable to all staff in the Secretariat. A coordination meeting will be held with the Department of Peace Operations and the Department of Operational Support during the first half of 2024 in order to obtain a better perspective on implementing this recommendation.

96. **In paragraph 139 of its report, the Board recommended that the Administration clarify the roles of the first and second lines of defence in the management of risks in peacekeeping operations, taking concrete steps to increase their empowerment, involvement and accountability, and formalizing in particular the participation of the Department of Peace Operations to the second line of defence.**

Departments responsible: Department of Management Strategy, Policy and Compliance and Department of Peace Operations

Status: Under implementation

Priority: High

Initial target date: First quarter of 2024

Revised target date: First quarter of 2025

97. The responsibility of ensuring an effective risk and control environment within each mission rests with the individual heads of the missions. The Department of Management Strategy, Policy and Compliance will retain its overarching responsibility for the development of methodological guidance and for the coordination and support of the implementation of enterprise risk management across the Organization. The Department will review and update the enterprise risk management and internal control policy document to provide clearer guidelines on the roles of the first and second lines of defence. The Department will also review

and update the terms of reference for various roles associated with enterprise risk management in line with the updated policy guidelines.

98. The responsibilities of the Department of Peace Operations will focus on tailoring and monitoring the effective implementation of enterprise risk management in peacekeeping operations. This will align with the Department's dual role of providing oversight of peacekeeping operations and substantive expertise and support to missions in the various areas of mandate implementation. The Department of Peace Operations currently has no dedicated resources for risk management.

99. In paragraph 168 of its report, the Board recommended that the Administration assign the responsibility of Chief Risk Officer to an existing senior executive in each entity, at the department, missions and service centres levels.

Departments responsible: Department of Management Strategy, Policy and Compliance, Department of Peace Operations and all peacekeeping missions

Status: Under implementation

Priority: High

Initial target date: Fourth quarter of 2024

Revised target date: No change

100. A draft review of enterprise risk management roles and functions, aimed at developing the "integrator/facilitator" role of a Chief Risk Officer, will first be discussed with the Department of Peace Operations and then with the heads of the peacekeeping missions. The objective is to assign an existing senior official in each mission within existing resources, and to reflect those responsibilities in the revised enterprise risk management policy. The responsibilities of the Chief Risk Officer will be clearly defined and delineated.

101. In paragraph 171 of its report, the Board recommended that the Administration review in the coming months, through a process including all stakeholders, the quality of the existing "risk registers" and "risk treatment and response plans".

Departments responsible: Department of Management Strategy, Policy and Compliance and all peacekeeping missions

Status: Under implementation

Priority: High

Initial target date: First quarter of 2024

Revised target date: First quarter of 2025

102. The Department of Management Strategy, Policy and Compliance will engage with the relevant stakeholders in efforts to improve the quality of risk registers. The Department will continue to liaise with peacekeeping missions and provide advice, guidance, training and support in the preparation of their entity risk registers and risk treatment plans, including migration into the Umoja enterprise risk management module. The gradual adoption of the module itself across all peacekeeping operations will greatly enhance the alignment with the policy and methodology and the

consistency and quality of the registers. Furthermore, outreach efforts and briefings to enterprise risk management focal points, risk owners and risk practitioners will also continue.

103. In paragraph 204 of its report, the Board recommended that the Administration conduct a thorough review of all the existing accountability requirements on peacekeeping operations, in order to streamline and reduce the burden on managers (“simplification shock”), as well as to better articulate risk management with key internal control, strategic programming, budgeting and performance frameworks and ensure data sharing and interconnected information systems.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Initial target date: Fourth quarter of 2024

Revised target date: No change

104. An inventory of all existing reporting requirements has been developed for the first time and is the basis of efforts to identify opportunities to streamline, simplify, automate or align reporting requests. An initial round of simplification proposals and implementation plans is being developed, after which the Administration intends to transition the project into a continuous improvement process as part of the Administration’s simplification agenda.

105. In paragraph 222 of its report, the Board recommended that the Administration issue a standard operating procedure for cross-borrowing starting with the cash shortfall identification and ending with the loan movement in Umoja. This standard operating procedure shall also include a template note with all relevant information for the approval. Finally, the standard operating procedure should provide that the heads of missions affected are informed.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Initial target date: Second quarter of 2023

Revised target date: Second quarter of 2024

106. The draft standard operating procedure is undergoing review and amendments, as it requires alignment with liquidity management procedures for the regular budget.

107. In paragraph 274 of its report, the Board recommended that the Administration formalize a policy document for the actuarial valuation of employee benefits that gives an overview of the process and related internal controls. In particular, the policy should describe and document the significant decisions and assumptions to be included in the employee benefits valuation.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Initial target date: Fourth quarter of 2024

Revised target date: No change

108. The Administration is preparing a policy document on the actuarial valuation process, which is expected to be finalized by December 2024.

109. In paragraph 285 of its report, the Board recommended that the Administration systematically document the review and the update of volume II employee benefits actuarial assumptions, providing appropriate evidence as necessary, to ensure their reasonableness before using them in the valuation.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: Medium

Initial target date: Fourth quarter of 2024

Revised target date: No change

110. The Administration is reviewing all assumptions with a goal to further analysing their significance, as defined by IPSAS 39: Employee benefits. The resulting document is expected to cover the source, nature and applicability of assumptions and set out the frequency of their review and alignment with the existing actuarial process and timeline. The implementation of this recommendation is on track to be completed by December 2024.

111. In paragraph 293 of its report, the Board recommended that the Administration complete further the information disclosed in the notes to the financial statements, as prescribed in paragraphs 141 to 149 of IPSAS 39: Employee benefits.

Department responsible: Department of Management Strategy, Policy and Compliance

Status: Under implementation

Priority: High

Initial target date: Not applicable

Revised target date: Second quarter of 2024

112. The Administration will hold a discussion with the Board on this recommendation during the interim audit of 2024 and request its subsequent closure. The Administration believes that, as confirmed by the independent actuary, paragraph 149 (b) of IPSAS 39 is applicable to reporting entities that have funded liabilities (i.e. the amount the entity expects to pay to the plan in the next reporting period). In addition, it should be noted that paragraph 149 (b) appears in IPSAS 39 under the

heading “Amount, timing and uncertainty of future cash flows”, meaning its goal is to inform users of the financial statements of the future cash flows associated with the defined benefit plan. Since after-service health insurance is funded only after claims are made, the United Nations cannot anticipate contributing a specific amount in the next reporting period. The amounts paid for medical claims will only be known when they are presented for payment (pay as you go), which is not certain at the time the financial statements are issued. The Administration could use the actuarial model to project the future year’s cost; however, this amount would not translate to cash outflow for the United Nations. Therefore, the Administration believes that including the amount of expected benefit payments in the notes is not relevant in the Organization’s case and might mislead the users of the financial statements. With regard to disclosing maturity/duration periods for repatriation grants and annual leave, the Administration has complied with this requirement in the financial statements for the financial period ended 30 June 2023.

113. In paragraph 298 of its report, the Board recommended that the Administration further disclose, in the notes to the financial statements, the results of the sensitivity analyses for benefits plans for each significant actuarial assumption.

<i>Department responsible:</i>	Department of Management Strategy, Policy and Compliance
<i>Status:</i>	Under implementation
<i>Priority:</i>	Medium
<i>Initial target date:</i>	Not applicable
<i>Revised target date:</i>	Second quarter of 2024

114. The Administration has amended the disclosure of assumptions based on the Board’s comments received on the volume II financial statements for the financial period ended 30 June 2023. The Administration will conduct further discussions with the Board during the interim audit of 2024 to confirm whether the additional disclosures are satisfactory, and will subsequently request the closure of this recommendation.

115. In paragraph 311 of its report, the Board recommended that the Administration conduct at least annually a qualitative review of all Umoja user accounts and roles granted in the Department of Management Strategy, Policy and Compliance. This review should include making the necessary modifications and deprovisioning user accounts to avoid having any active accounts with legacy privileges.

<i>Departments responsible:</i>	Enterprise Resource Planning Solution Division and Department of Management Strategy, Policy and Compliance
<i>Status:</i>	Under implementation
<i>Priority:</i>	Medium
<i>Initial target date:</i>	First quarter of 2024
<i>Revised target date:</i>	Second quarter of 2024

116. The new user access functional subgroup is reviewing the process and scope for a regular review of Umoja access and role provisioning. The outcome of this review will be the preparation of a procedural framework to govern such reviews.

117. In paragraph 325 of its report, the Board recommended that the Administration rework key performance indicators for demand planning, set targets to be reached and ensure a follow-up of the results.

Department responsible: Department of Operational Support

Status: Under implementation

Priority: High

Initial target date: First quarter of 2024

Revised target date: No change

118. The Enabling and Outreach Service in the Office of Supply Chain Management has been tasked to analyse and define key performance indicators for the supply chain planning process, taking into consideration both global key performance indicators, which will provide an overview of overall supply chain planning performance, as well as entity-level key performance indicators that focus on specific areas such as demand, sourcing and execution. In September 2023, a revised set of key performance indicators were identified and are in the process of being evaluated, reviewed and approved. In addition, the Enabling and Outreach Service developed an interim dashboard that provides: (a) visibility on entities' execution of their acquisition plans; (b) an analysis of historical gross demand to support future planning cycles; and (c) an analysis of the consumption of goods and services.

119. In paragraph 349 of its report, the Board recommended that the Administration complete the strategies for the nine remaining procurement categories.

Department responsible: Department of Operational Support

Status: Under implementation

Priority: High

Initial target date: Second quarter of 2023

Revised target date: First quarter of 2024

120. The Administration is currently evaluating how best to focus its resources across all the categories, with the aim of identifying the "core categories" for which proactive end-to-end solutions for clients are sought, as opposed to "bespoke" categories in which the Office of Supply Chain Management assists clients with either guidance for local sourcing or assistance with implementing supply chain solutions tailored to a specific need. As such, a new schedule of strategy reviews for updates will be created in the coming months, which will also determine how and if the remaining four category strategies should be developed.

121. In paragraph 350 of its report, the Board recommended that the Administration set, for each strategy, appropriate implementation milestones and performance indicators in order to monitor results and take the actions necessary at the level of the Department of Operational Support and after close consultations with the peacekeeping missions.

Department responsible: Department of Operational Support
Status: Under implementation
Priority: High
Initial target date: Second quarter of 2024
Revised target date: No change

122. The Enabling and Outreach Service of the Office of Supply Chain Management, which includes a section responsible for the supply chain management performance management framework, has been meeting regularly with category teams to establish appropriate performance indicators that are specific to each category.
